

25STCV00983 25STCV00983

County: los-angeles

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Department: 11

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Case Number: 25STCV00983 Hearing Date: September 22, 2026 Dept: 11

Miranda (25STCV00983)

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Tentative

Ruling Re: Motion to Compel Arbitration

Date: 9/22/26

Time: 11:00 am

Moving Party: Gen Cerritos
LLC ("Defendant")

Opposing Party: Humberto
Higareda Miranda ("Plaintiff")

Department: 11

Judge: Bruce G.
Iwasaki

TENTATIVE RULING

Defendant's motion to compel
arbitration is denied because the record fails to show consent to arbitrate.

BACKGROUND

Plaintiff used to work for Defendant as a server. He alleges that Defendant subjected him and other current and former non-exempt employees to numerous wage-and-hour violations.

Here, Defendant moves to compel Plaintiff's individual claims to arbitration.

DISCUSSION

Existence and Assent

"[W]hen a petition to compel arbitration is filed and accompanied by prima facie evidence of a written agreement to arbitrate the controversy, the court itself must determine whether the agreement exists and . . . whether it is enforceable." (Rosenthal v. Great Western Financial Securities Corp. (1996) 14 Cal.4th 394, 413.) "[T]he threshold question . . . is whether there is an agreement to arbitrate." (Cruise v. Kroger Co. (2015) 233 Cal.App.4th 390, 396, emphasis in original.)

The determination of whether an arbitration agreement exists is a three-step process. "First, the moving party bears the burden of producing 'prima facie evidence of a written agreement to arbitrate the controversy.'" (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165.)

"The moving party 'can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature.'" (Ibid.) In the alternative, "the moving party can meet its burden by setting forth the agreement's provisions in the motion." (Ibid.)

"If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement." (Ibid.) "The opposing party can do this in several ways." (Ibid.) "For example, the opposing party may testify

under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement.” (Ibid.)

“If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties.” (Ibid.) “The burden of proving the agreement by a preponderance of the evidence remains with the moving party.” (Id. at 165-166.)

Defendant passes the first step. A copy of the arbitration agreement is physically included with the moving papers.

(See Thakare Decl., Ex. A; see also Gamboa, *supra*, 72 Cal.App.5th at 165.)[1]

For the second and third steps, Plaintiff contends the Court should deny the motion to compel because (1) his e-signature is not written on the agreement’s signature line, (2) Defendant fails to authenticate the agreement, and (3) Defendant fails to show that he agreed to arbitration by clicking the “submit” button during onboarding.

(See Opposition, pp. 6-11; see also Miranda Decl., ¶¶ 5-6.)

Point (1) is persuasive. Defendant fails to show assent to the agreement. The agreement is three pages in length. Each page is numbered and has a header identifying it as the GEN employment-at-will arbitration agreement. The signature line, on page three, is blank. Strikingly, the e-signature appears on an unnumbered fourth page, with no other text, and no header indicating it is connected in any way to the arbitration terms. (See Thakare Decl., Ex. A.) Defendant offers no evidence that this fourth page is part of the agreement, or reflects assent to arbitration. Plaintiff may have electronically signed something, but Defendant has not shown that Plaintiff signed the arbitration agreement. Defendant does not address this issue in its Reply memorandum. This discrepancy is fatal and is grounds to deny the motion on the basis for failure to establish formation of the arbitration agreement.

Accordingly, the court need not address the other two arguments relating to authentication and the electronic signature.[2]

Even if the court had found an arbitration agreement exists, it is unconscionable.

Although unnecessary, for the benefit of a full record, even if the court found contract formation, it would find that unconscionability renders the agreement to arbitrate unenforceable.

As a preliminary matter, if an arbitration agreement were established, it would be governed by the Federal Arbitration Act (FAA). Section 2 of Defendant's agreement states: "The FAA applies to this Agreement because the Company's business involves interstate commerce." (Id. at Ex. A, p. 1, § 2.) The wording renders the FAA controlling.

Unconscionability and Enforcement

Unconscionability is a contract defense that can be utilized to "invalidate [an] arbitration agreement[.]" (Torrecillas v. Fitness International, LLC (2020) 52 Cal.App.5th 485, 492.)

Courts apply state law to test whether the agreement is unconscionable. (See, e.g., Lagatree v. Luce, Forward, Hamilton & Scripps (1999) 74 Cal.App.4th 1105, 1119.)

"[U]nconscionability has both a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results." (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114, internal quotation marks omitted.) "The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability." (Ibid.) "But they need not be present in the same degree." (Ibid.) "Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves." (Ibid.) "In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (Ibid.)

The burden belongs to the party opposing arbitration. (See *Ajamian v. CantorCO2e, L.P.* (2012) 203 Cal.App.4th 771, 795.)

With respect to procedural unconscionability, Plaintiff claims the agreement constitutes a contract of adhesion. He further states that he was not given an opportunity to negotiate, that Defendant did not explain the terms to him, and that he does not remember e-signing it. (See Opposition, pp. 12-14; see also *Miranda Decl.*, ¶¶ 4-10.)

The Court finds that Plaintiff's lack of ability to negotiate and lack of memory are insufficient grounds for showing a high degree of procedural unconscionability. First, "a predispute arbitration agreement is not invalid merely because it is imposed as a condition of employment." (*Lagatree, supra*, 74 Cal.App.4th at 1122.) Second, the plain language undercuts Plaintiff's position. In addition to allowing employees to "opt out of certain portions[.]" the agreement states that "execution of this document is not a condition of employment." (*Thakare Decl., Ex. A*, pp. 1, 2, §§ 2, 5, emphasis added.) Third, failure to read and understand is not a defense. (See *Knight, supra*, at ¶ 5:90.) Fourth, there is no statement under penalty of perjury stating that Plaintiff actually requested extra time to read the onboarding documents or assistance from an attorney or other consultant to explain the meaning of the arbitration terms or that Defendant denied such requests, assuming they were made. Given these factors, the level of procedural unconscionability is low.

On substantive unconscionability, Plaintiff argues that (1) the arbitration agreement must be interpreted together with a confidentiality agreement that was included among the onboarding documents (see Opposition, p. 14), (2) the confidentiality agreement requires claims related to the confidentiality agreement to be litigated in court (see *id.* at pp. 14-16), and (3) the arbitration agreement is one-sided in that it obliges him to arbitrate against third-party entities that do not similarly agree to arbitrate in return. (See *id.* at pp. 16-17 [citing *Phan v. Knight Sacramento SU Inc.* (2026) 121 Cal.App.5th 641 and *Cook v. USC* (2024) 102 Cal.App.5th 312].)

The first two points, relating to the effect of the confidentiality agreement, have merit. In *Cluck v. Geo Secure Services* (2026) 122

Cal.App.5th 249, 347 Cal.Rptr.3d 44, the Court of Appeal held that Civil Code section 1642 mandates that, where an employee signs an arbitration agreement and a confidentiality agreement in the same onboarding transaction, the agreements must be construed as a single contract.

In Cluck, the plaintiff signed an arbitration agreement and a confidentiality agreement on the same day. The arbitration agreement obligated the parties to arbitrate employment-related disputes. The confidentiality agreement “create[d] an exception for [the defendant’s] confidentiality-or-competition-type claims[.]” calling for the claims to be litigated in court in Florida. (Cluck, supra, 347 Cal.Rptr.3d at p. 51)

Analyzing *Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482 and *Silva v. Cross Country Healthcare, Inc.* (2025) 111 Cal.App.5th 1311, the Fourth District determined that the agreements should be read together because they both “pertain[ed] to the resolution of disputes arising from [the plaintiff’s] employment.” (Cluck, supra, 347 Cal.Rptr.3d at p. 53.)

The Cluck opinion also rejected the defendant’s focus on the integration clauses in the agreements:

GEO suggests that we should not construe the agreements together under section 1642 because each contains an integration clause. Indeed, the Arbitration Agreement provides that it “replaces all prior agreements regarding the arbitration of disputes and is the full and complete agreement relating to the formal resolution of disputes covered by this Agreement.” And the Confidentiality Agreement states:

“Except as otherwise provided herein, the terms contained in this document are the entire agreement between the parties concerning the matters covered in it. The parties are not relying upon any representations, understandings or agreements outside of this Agreement in making the decision to enter into it. This Agreement supersedes prior agreements between me and the Company regarding the subject matter addressed in this Agreement And, this Agreement supplements and does not replace or modify confidentiality, invention assignment, and restrictive covenant

provisions that may be contained in ... other agreements between the parties.”

The mere existence of an integration clause, however, does not necessarily preclude us from considering whether two agreements should be construed together under section 1642. (R.W.L. Enterprises v. Oldcastle, Inc. (2017) 17 Cal.App.5th 1019, 1031, 226 Cal.Rptr.3d 677.) The integration clauses in this case do not clearly indicate the agreements should be read independently. Neither the Arbitration Agreement nor the Confidentiality Agreement specifically references the other. (Cf. Subaru of America, Inc. v. Putnam Automotive, Inc. (2021) 60 Cal.App.5th 829, 840–841, 275 Cal.Rptr.3d 120 [applying § 1642 not warranted where one agreement expressly states it does not modify a second agreement and “ ‘is a separate, negotiated contract apart from’ ” the second (italics omitted)].) And where two agreements are signed at the same time, both covering dispute resolution and both containing an integration clause, it is not clear which is controlling.

(Id. at p. 54.)

Cluck is analogous. The Court finds that Cluck requires Defendant’s arbitration agreement and confidentiality agreement to be read together.

More importantly, Cluck compels the conclusion that there is a high degree of substantive unconscionability.

The Fourth

District found that the overall agreement – the arbitration agreement and the confidentiality agreement combined – provided the defendant an “unfairly one-sided” benefit of “pursu[ing] its most likely claims in court.” (Cluck, supra, 347 Cal.Rptr.3d at p. 57.) Combining Defendant’s arbitration agreement and confidentiality agreement generates an equivalent “unfairly one-sided” benefit. (Ibid.; see also Shirinian Decl., Ex. 1, p. DEF00022, § 6 [“In the event of a breach or threatened breach by the Employee of any of the provisions of this Agreement, the Employee hereby consents and agrees that the Employer shall be entitled to seek, in addition to other available remedies, a temporary or permanent injunction or other equitable relief against such breach or threatened breach from any court of competent jurisdiction”]; id. at Ex. 1, p. DEF00023 [“Any action or proceeding by either Party to enforce this Agreement shall be

brought only in any state or federal court located in the state of California, County of Los Angeles. The Parties hereby irrevocably submit to the exclusive jurisdiction of such courts”].)

Defendant’s Reply lacks

candor concerning the circumstances of the signing of the two agreements. It argues that Plaintiff cannot verify they were signed at the same time. (Reply, p. 6.) But a list of when the documents were purportedly signed, produced by Defendant on Bates page DEF000149, purports to reflect that they were signed within seconds of each other. (Shirinian Decl., Exh. 3.)

Accordingly, even if

Defendant had established formation of the arbitration agreement, the court would find it unconscionable.

Defendant Gen Cerritos’s motion to compel arbitration is denied.

[1] The moving party “is not required to authenticate an opposing party’s signature on an arbitration agreement as a preliminary matter” (Ruiz v. Moss Bros. Auto Group, Inc. (2014) 232 Cal.App.4th 836, 846, emphasis in original), and the reviewing court “is only required to make a finding of the agreement’s existence, not an evidentiary determination of its validity.” (Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 219.)

[2] Had the court found evidence

that the electronic signature was connected to the arbitration agreement, it would have disagreed with Plaintiff’s two other arguments. On point (2), “Authentication of a writing means (a) the introduction of evidence sufficient to sustain a finding that it is the writing that the proponent of the evidence claims it is or (b) the establishment of such facts by any other means provided by law.” (Knight, Cal. Practice Guide: Alternative Dispute Resolution (The Rutter Group 2025) ¶ 5:321.1 [quoting Evidence Code section 1400].) On point (3), “An ‘electronic signature is attributable to a person if it was the act of the person’ and this may be shown in any manner.” (Id. at ¶ 5:321.3.) “[A] party may establish that the electronic signature was ‘the act of the person’ by presenting evidence that a unique login and password known only to that person was required to affix the electronic signature, along with evidence detailing the procedures the person had to follow to

electronically sign the document and the accompanying security precautions.” (Bannister v. Marinidence Opco, LLC (2021) 64 Cal.App.5th 541, 545.)

The Thakare declaration supplies the requisite information. (See Thakare Decl.,

¶¶ 4-6 [addressing unique passwords, the “submit” button, and the inability of restaurant management to access an employee’s password and to modify the agreement].)